

Chapter 5

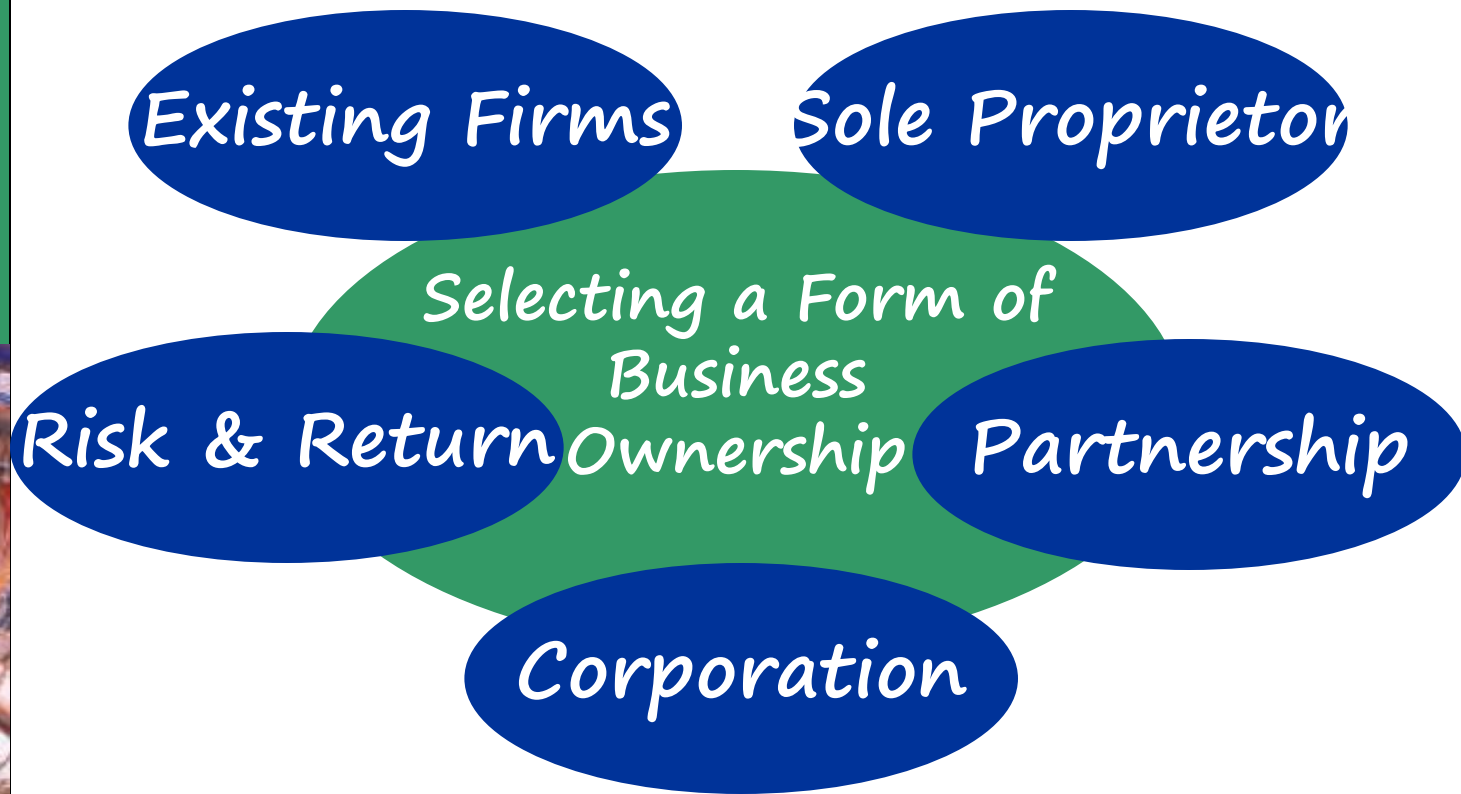


INTRODUCTION
TO BUSINESS 4e

JEFF MADURA

Selecting a Form of Business Ownership

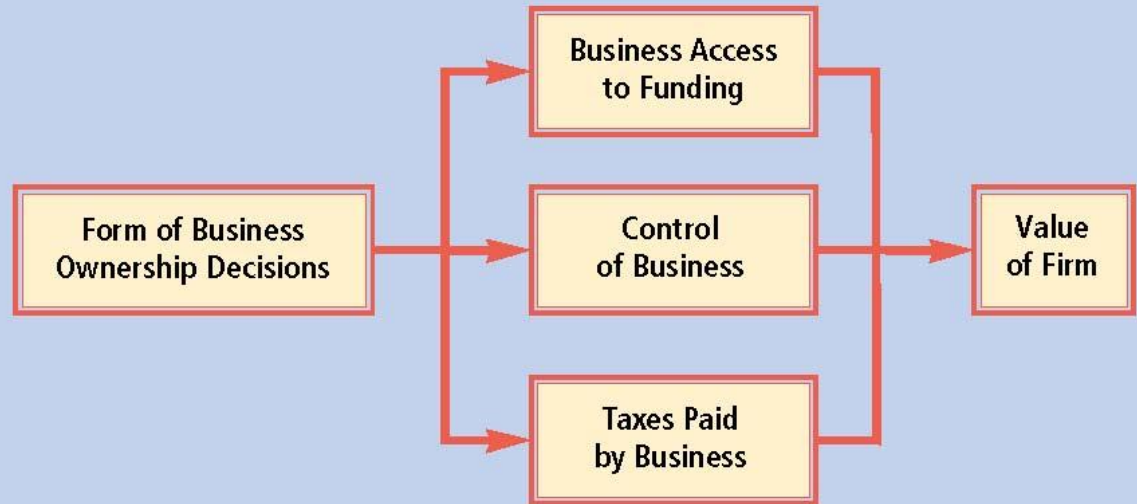
Learning Objectives



Selecting a Form of Business Ownership

Sole
Proprietor
Partnership
Corporation
Risk &
Return
Existing Firms

Selecting a Form



Selecting a Form of Business Ownership

Sole Proprietor
Partnership
Corporation
Risk & Return
Existing Firms

Sole Proprietorship



Single Owner



Selecting a Form of Business Ownership

Sole Proprietor
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Risk & Return
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Sole Proprietorships

- Earnings
- Easy Organization
- Control
- Low Taxes

Advantages

- Losses
- Unlimited Liability
- Limited Funds
- Limited Skills

Disadvantages



Selecting a Form of Business Ownership

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Partnership



General Partnership

Limited Partnership

General Partners

Limited Partners

Selecting a Form of Business Ownership

Sole Proprietor Partnership Corporation Risk & Return Existing Firms

Partnerships

- Additional Funds
- Shared Losses
- Specialization

Advantages

- Shared Control
- Unlimited Liability
- Shared Profits

Disadvantages



Selecting a Form of Business Ownership

Sole
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S-Corporations



Limited Liability

Personal Tax



Selecting a Form of Business Ownership

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Limited Liability Company LLC



Limited Liability

Partnership Benefits

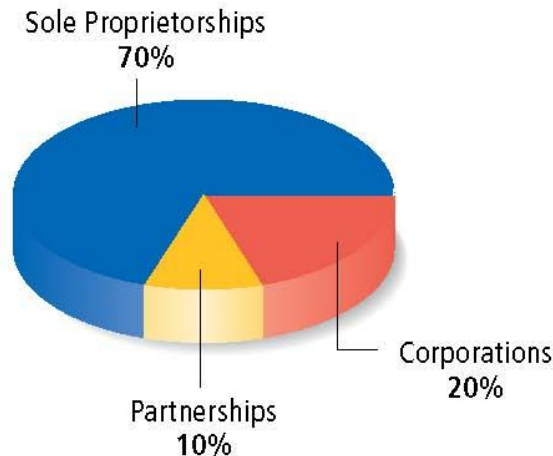


Selecting a Form of Business Ownership

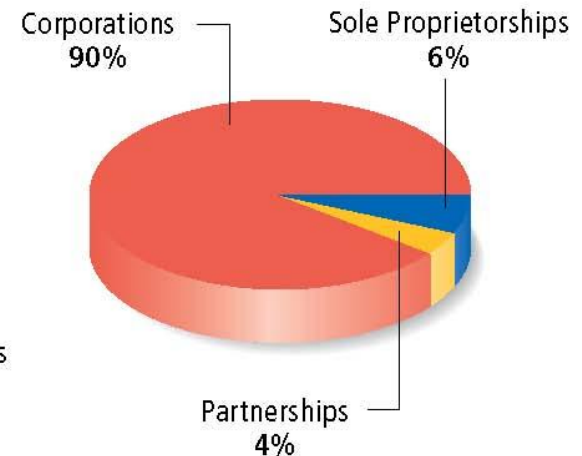
Sole Proprietor
Partnership
Corporation
Risk & Return
Existing Firms

Corporations

Proportion of Existing Businesses under Each Form of Ownership



Proportion of Business Revenue Generated by Each Form of Ownership



Selecting a Form of Business Ownership

What is IPO



Selecting a Form of Business Ownership

Sole
Proprietor
Partnership
Corporation
Risk &
Return
Existing Firms

Corporations

- Limited Liability
- Access to Funds
- Ownership Transfer

Advantages

- High Expense
- Financial Disclosure
- Agency Problems
- High Taxes

Disadvantages

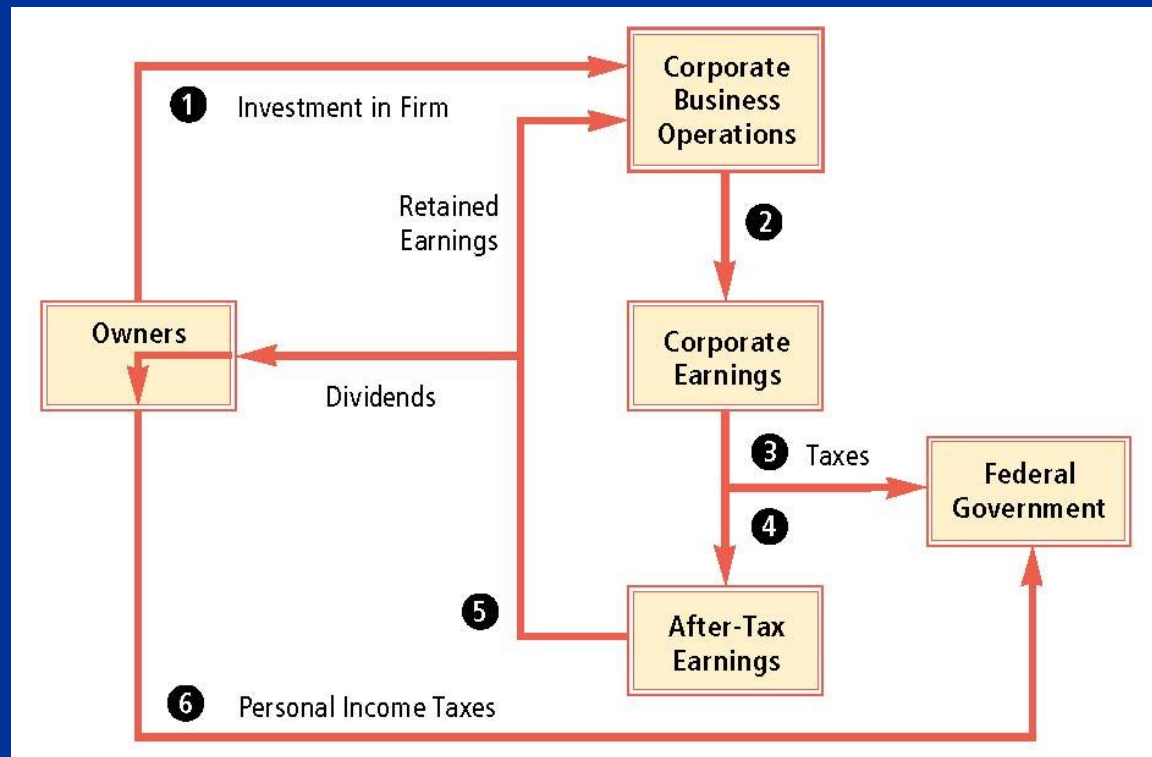
Capital Gains



Selecting a Form of Business Ownership

Sole Proprietor
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Double Taxation



Owning an Existing Business

Selecting a
Form of
Business
Ownership

Sole
Proprietor
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Family Business

Existing Business

Franchise



Selecting a Form of Business Ownership

Sole Proprietor
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Existing Firms



Franchise

Distributorship

Chain Style

- Proven Style
- Name Recognition
- Financial Support

Advantages

- Sharing Profits
- Less Control

Disadvantages

Selecting a
Form of
Business
Ownership

Franchise



(音乐)
(Music)

The Key Decisions in Running a Business

*What are the key differences among
a sole proprietorship, a partnership,
and a corporation?*



The Key Decisions in Running a Business

A sole proprietorship is a firm owned and usually managed by a single person. The single owner has the right to all profits if the business is successful, but also has unlimited liability for any claims against the firm. A partnership consists of two or more owners who are in business for the pursuit of profit as co-owners. A corporation is a business entity that legally is considered to be separate from its owners. Corporations operate under a charter approved by a state government. Owners of a corporation, known as stockholders, usually do not take an active role in management, leaving this responsibility to professional managers. Stockholders have limited liability.



The Key Decisions in Running a Business

*Identify and explain the differences
between privately held and publicly
held corporations.*



The Key Decisions in Running a Business

Ownership of privately held corporations is restricted to a small group of investors, often members of a single family. Stock is not traded over an organized exchange.

Ownership in publicly held corporations is not restricted to a small group. Shares of publicly held firms can be purchased or sold by investors over an organized exchange.

Stockholders of publicly held corporations can easily sell their shares of stock. Although virtually all firms were privately held when they were created, some of these firms became publicly held when they needed funds to support large expansion. Publicly held corporations can obtain additional funds by issuing new common stock.



The Key Decisions in Running a Business

*Describe a franchise and identify its
advantages and disadvantages.*



The Key Decisions in Running a Business

Advantages:

- a. Proven management style – Franchisees look to the franchisors for guidance in production and management. The management style is already proven to be a success; thus, a franchise is a less risky venture than a new type of business.
- b. Name recognition – Many franchises are nationally known because of advertising by the franchisor. This provides the franchisee with name recognition, which can increase the demand for the product.
- c. Financial support – Some franchisees receive financial support from the franchisor. This can ensure sufficient start-up funds for the franchise. Franchisees can purchase materials and supplies from the franchisor on credit.



The Key Decisions in Running a Business

Disadvantages:

- a. Sharing profits – In return for services provided by the franchisor, the franchisee must share profits with the franchisor.
- b. Less control – The franchisee must abide by guidelines regarding the production and pricing of the product and possibly other guidelines as well. The franchisee's performance is dependent on these guidelines. Owners are not allowed to revise some of the guidelines.

